

impact that events in these countries have on other countries in their region or in the world.

Similarly, other types of diversification might be useful as well. Diversifying across different investment asset classes or categories is important. For example, the fixed income asset class is a category that includes savings bonds, government bonds, and other “safe” products that pay coupons and interest. Another asset class is real estate, which can help reduce inflation risk. The value of fixed-income investments decreases as inflation increases. Conversely, the value of real estate increases as inflation increases. A portfolio containing all of these asset classes will be insulated against shocks or surprises to inflation risk.

Diversifying across investments with different levels of liquidity might be useful as well. Liquidity refers to the speed and cost with which investors are able to liquidate all or some of their portfolio, such as when faced with a medical emergency or a family business on the verge of bankruptcy. For example, real estate is commonly perceived as an illiquid investment, due to the time and various fees (agent, lawyer, tax) associated with a purchase or sale. Conversely, money market investments can be quickly and cheaply liquidated.

Consider, for example, two broad stock market indices—for example, in the U.S. and Europe. If you think about it for a moment, you’ll see that there are three broad possibilities for how these two markets might behave vis-à-vis one another or move at any point in time. Statisticians call this a positive correlation, a negative correlation, and no correlation.

The first possibility, the positive correlation, simply means or implies that both markets move together in roughly the same direction. When European stock markets are having a relatively strong week, month, or year, then U.S. markets are doing the same. And when European markets are experiencing difficult times, so are the U.S. markets. They share the same ups and the same downs. The stronger (or closer) this parallel is, the higher the correlation coefficient. In fact, if the two markets moved in perfect lockstep, a statistician would say that they have a correlation coefficient of 100%.

On the other side is negative correlation. This means, for example, that when one market does better than average, the other performs worse than average. When one market has a relatively good week, month, or year, the other has a relatively bad week, month, or